National Food Security Act, 2013 (NFSA)

- NFSA is the biggest intervention of its kind in the world in the realm of food security. If implemented property this law can improve the lives of millions in this country.
- *Some of the highlights of this act are as follows*
  - It extends to the whole of India. Priority households are entitled to 5 kgs of foodgrains per person per month and Antyodaya households to 35 kgs per household per month.
  - Combined coverage of priority and Antyodaya households will extend to 75% of the rural population and 50% of the urban population.
  - PDS issue prices will be 3/2/1 per kg for rice/wheat/millets. These may be revised after 3 years.
  - For children in the age group 6 months to 6 years, an age-appropriate meal will be provided through the local Anganwadi.
  - For children aged 6-14 years, one free mid-day meal in all government and government aided schools up to class VII.
  - For children below 6 months 'exclusive breast feeding will be promoted'.
  - Every pregnant and lactating mother is entitled to a free meal at the local Anganwadi (during pregnancy and 6 months after) and maternity benefits of ₹ 6000.

Major Schemes of Agriculture

Pradhan Mantri Fasal Bima Yojana

This is the new crop damage insurance scheme that has been approved by the Union Cabinet in January 2016. It will replace the existing 2 insurance schemes NAIS and Modified NAIS. The theme of the scheme is One Nation–One Scheme. In this, all shortcomings and weaknesses of all previous schemes were removed and incorporated with the best features of all schemes.

Mega Food Park Scheme (MFPS)

The 10th Plan scheme of food parks was renamed as the Mega Food Park Scheme (MFPS) in 2008. The scheme has been launched with the objective of implementing the express objectives of the Vision 2015, document through creation of excellent infrastructure.

At present, 13 mega food parks are at various stages of implementation. 12th Plan (2012-17), has targeted to set-up 50 mega food parks during the plan period.

Objectives of the Mega Food Park Scheme are as follows

- To provide state of the art infrastructure for food processing in the country on a pre-identified cluster basis.
- To ensure value addition of agricultural commodities.
- To establish a sustainable raw material supply chain for each cluster.
- To facilitate induction of latest technology.
- Quality assurance through better process control and capacity building.

Rashtriya Krishi Vikas Yojana (RKVY)

The RKVY was launched in 2007-08, with an outlay of ₹ 25000 crore in the Eleventh Plan for incentivising states to enhance public investment to achieve a 4% growth rate in agriculture and allied sectors. The RKVY permits taking up national priorities as sub-schemes allowing flexibility in project selection and implementation.

Pradhan Mantri Krishi Sinchai Yojana (PMKSY)

With an eye on improving farm productivity, the government has decided to spend ₹ 50,000 crore over the next 5 years under the Pradhan Mantri Krishi Sinchai Yojana (PMKSY). The major objective of the PMKSY is to achieve convergence of investments in irrigation at the field level expand cultivable area under assured irrigation improve on farm water use efficiency to reduce wastage of water, enhance adoption of precision irrigation and other water saving technologies.

INDUSTRIES

Industries constitute an important part of an economy. Economic development of an economy is founded on the advances made in the industrial sector. The Indian Government has been trying to promote rapid industrial growth since Independence. As a result of the various efforts, the industrial sector in India has grown in multifarious dimensions.

Important Industries of India

Iron and Steel Industry

- First Steel industry was set-up at Kulti (West Bengal) 'Bengal Iron Works Company' in 1870.
- First large scale steel plant TISCO was set-up at Jamshedpur in 1907 followed by IISCO at Burnpur in 1919. Both belonged to private sector.
- The first public sector unit was 'Visveshvaraya Iron and Steel Works' at Bhadrawati.
- All these are managed by SAIL. (At present all important steel plants except TISCO, are under Public Sector).
- Steel Authority of India Limited (SAIL) was established in 1974 and was made responsible for the development of the steel industry.

Public Sector Steel Plants

Location	Assistance
Rourkela (Odisha)	Germany
Bhilai (Chhattisgarh)	Russian Government
Durgapur (West Bengal)	Britain Government
Bokaro (Jharkhand)	Russian Government
Burnpur (West Bengal)	Acquired by Private Sector in 1976
Visakhapatnam (Andhra Pradesh)	Russian Government
Salem (Tamil Nadu)	—
Vijaynagar (Karnataka)	—
Bhadrawati (Karnataka)	Nationalisation of Vishveshvarayya Iron and Steel Limited (owned by Central and State Government)

- Bhilai, Durgapur and Rourkela were established during the Second Five Year Plan. Bokaro was established during the Third while the steel plants at Salem, Vijai Nagar and Visakhapatnam were established in the Fourth Five Year Plan.
- Presently India is the 5th largest steel producing country in the world, ranked behind China, Japan, US and Russia in that order.

Cotton and Textile Industry

- Oldest industry of India and employs largest number of workers. It is the largest organised and broad-based industry which accounts for about 4% of GDP, 20% of manufacturing value added and one-third of total export earnings.
- The first Indian modernised cotton cloth mill was established in 1818 at Fort Gloaster near Calcutta, but this mill was not successful. The second mill named Bombay Spinning and Weaving Company was established in 1854 at Bombay by KGN Daber.

Cement Industry

- Production of cement was started in 1904 at Madras, but the foundation of stable Indian cement industry was laid in 1914 when the Indian Cement Company Limited started production at Porbander in Gujarat. During planning period, the cement industry has recorded continuous growth. India became not only self-reliant at the end of Seventh Plan, but also started export of cement. At present, cement is the most advanced industries in the country.
- Its first modernised industrial unit was established at **Rishra in West Bengal in 1855.**

Petroleum and Natural Gas

- First successful oilwell was dug in India in 1889, at Digboi, Assam. At present a number of regions having oil reserves have been identified and oil is being extracted in these regions. For exploration purpose, Oil and Natural Gas Commission (ONGC) was established in 1956 at Dehradun and Uttarakhand.
- The total oil reserves in India have been estimated to be about 13 crore tonnes. Domestic production of oil in India is much less to meet the domestic demand. India currently produces just over 32 million tonnes of crude oil against its annual demand of 105 million tonnes meeting only 30.5% of demand from domestic resources.

Core Industries

- Eight core industries in the index of industrial production consist of (with their weightage)
  - Cement (2.41%)
  - Coal (4.38%)
  - Crude oil (5.22%)
  - Natural gas (1.71%)
  - Electricity (10.32%)
  - Fertilizer (1.25%)
  - Steel (6.68%)
- They have a combined weight of 37.9% in overall index of industrial production.

Maharatnas

- In 2009, the government established the Maharatna status, which raises a company's investment ceiling from ₹ 1000 crore to ₹ 5000 crore.
- The Maharatna firms can now decide on investments of upto 15% of their net worth in a project. In terms of turnover, ONGC is the largest PSU in India.

The six criteria for eligibility as Maharatna are as follows :

i. Having Navratna status.
ii. Listed on Indian stock exchange with minimum prescribed public shareholding under SEBI regulations.
iii. An average annual turnover of more than ₹ 20000 crore during the last 3 years. Earlier it was ₹ 25000 crore.
iv. An average annual net worth of more than ₹ 10000 crore during the last 3 years. Earlier it was ₹ 15000 crore.
v. An average annual net profit after tax of more than ₹ 2500 crore during the last 3 years. Earlier it was ₹ 5000 crore.
vi. Should have significant global presence/international operations.

List of Maharatnas

i. Coal India Limited (CIL)
ii. Indian Oil Corporation Limited (IOCL)
iii. National Thermal Power Corporation Limited (NTPCL)
iv. Oil and Natural Gas Corporation Limited (ONGCL)
v. Steel Authority of India Limited (SAIL)
vi. Bharat Heavy Electrical Limited (BHEL)
vii. Gas Authority of India Limited (GAIL)

Navratnas

- Navratnas was the title given originally to nine **Public Sector Enterprises** or PSE identified by the Government of India in 1997 as its crown jewels of the most prestigious PSEs, which allowed them greater autonomy to complete in the global market.
- The number of PSEs having Navratna status has now been raised to 18, the most recent addition being Coal India Limited.

List of Navratnas

i. Bharat Electronics Limited (BEL)
ii. Bharat Petroleum Corporation Limited (BPCL)
iii. Hindustan Aeronautics Limited (HAL)
iv. Hindustan Petroleum Corporation Limited (HPCL)
v. Mahanagar Telephone Nigam Limited (MTNL)
vi. National Aluminium Company Limited (NALCO)
vii. National Mineral Development Corporation (NMDC)
viii. Oil India Limited (OIL)
ix. Power Finance Corporation Limited (PFC)
x. Power Grid Corporation of India Limited (PGC)
xi. Rural Electrification Corporation Limited (REC)
xii. Shipping Corporation of India Limited (SCL)
xiii. Neyveli Lignite Corporation Limited (NLCL)
xiv. Container Corporation of India Limited (CONCOR)
xv. Engineers India Limited (EIL)
xvi. National Buildings Construction Corporation Limited (MBCCL)
xvii. Rashtriya Ispat Nigam Limited (RINL)

Mini-ratnas

In addition, the Government created another category called Mini-ratna. It can also enter into joint ventures, set subsidiary companies and overseas offices, but with certain conditions.

1. **Category-I Mini-ratna** This designation applies to PSEs that have made profits continuously for the last 3 years or earned a net profit of ₹ 30 crore or more in one of the 3 years.

   These mini-ratnas are granted certain autonomy like incurring capital expenditure without government approval upto ₹ 500 crore or equal to their networth, whichever is lower. Currently, there are 51 mini-ratna in category-I.
2. **Category- II Mini-ratna** This category include those PSEs which have made profits for the last 3 years continuously and should have a positive networth.

   These mini-ratnas have autonomy to incurring the capital expenditure without government approval upto ₹ 300 crore or upto 50% of their whichever is lower. Currently, there are 14 mini-ratnas in category-II.

Companies Act, 2013

- This act introduces significant changes in the provisions related to governance, e-management, compliance and enforcement, disclosure norms, auditors and mergers and acquisitions. Also, new concepts such as one-person company, small companies, dormant company, class action suits, registered valuers and corporate social responsibility have been included. The Act, 2013 has introduced several new concepts and has also tried to streamline many of the requirements by introducing new definitions.
- **Dormant Company** The Act, 2013 states that a company can be classified as dormant when it is formed and registered under this Act, 2013 for a future project or to hold an asset or intellectual property and has no significant accounting transaction.
- **National Financial Reporting Authority** (NFRA) The Act, 2013 requires the Constitution of NFRA, which has been bestowed with significant powers not only in issuing the authoritative pronouncements, but also in regulating the audit profession.
- **Serious Fraud Investigation Office** (SFIO) The Act, 2013 has bestowed legal status to SFIO.
- **Corporate Social Responsibility** The Act, 2013 makes an effort to introduce the culture of Corporate Social Responsibility (CSR). In Indian corporates by requiring companies to formulate a corporate social responsibility policy and atleast incur a given minimum expenditure on social activities.

Competition Commission of India (CCI)

CCI was established in 2003 according to the provision of the Competition Act, 2002. CCI consists of a chairperson and 6 members appointed by the Central Government. It is the duty of the commission to eliminate practices having adverse effect on competition, promote and sustain competition, protect the interests of consumers and ensure freedom of trade in markets of India.

Industrial Policies

Industrial policy can be defined as a statement stating the role of government in industrial development, the position of public and private sectors in industrialisation of the country, the comparative role of large and small industries. lt enlists the rules and procedures that will monitor the growth and pattern of industrial activity.

Industrial Policy Resolution, 1948

In Industrial Policy Resolution of 1948, both public and private sectors were involved towards industrial development.

Accordingly, the industries were divided into four broad categories

i. **Exclusive Government Monopoly** This includes manufacture of arms and ammunition, production and control of atomic energy and the ownership and management of railway transport. These industries were the exclusive monopoly of the Central Government.

ii. **Government Monopoly for New Units** This category included coal, iron and steel, aircraft manufacture, ship building, manufacture of telephone, telegraphs and wireless apparatus (excluding radio receiving sets) and mineral oils. New undertakings in this category was to be undertaken only by the State.

iii. **Regulation** This category included industries of such basic importance like machine tools, chemicals, fertilizers, non-ferrous metals, rubber manufactures, cement, paper, newsprint, automobiles, electric engineering etc which the Central Government would feel necessary to plan and regulate.

iv. **Unregulated Private Enterprise** The industries in this category were left open to the private sector, individual as well as cooperative.

Industrial Policy Resolution, 1956

The Industrial Policy Resolution of 1956 classified the entire industrial sector in three schedules, which are as follows

Schedule A In the first category, those industries were included whose future development was the exclusive responsibility of the State. 17 industries, were included in this category.

Schedule B In this category, those industries were included which were progressively State-owned and in which the private enterprises would be expected only to supplement the efforts of the State. In this category, 12 industries were included.

Schedule C All industries not listed in Schedule A or B were included in the third category. These industries were left open to the private sector.

New Industrial Policy, 1991

- The New Industrial Policy of 1991 was at the center of economic reforms that was launched during the early 1990s. This policy brought comprehensive changes in economic regulation in the country.
- New industrial policy abolished all industrial licensing, irrespective of the level of investment, except for a short list of selected industries. Government announced its intention to offer a part of government shareholding in the public sector enterprises to mutual funds, financial institutions, general public and the workers.
- The 1956 Resolution had reserved 17 industries for the public sector. The 1991 industrial policy reduced this number to 8. As of now only 3 industries are reserved for government.

Major Schemes for Industry

Make in India

Make in India compaign aims at reviving the job creating manufacturing sector, which is being seen as the key to taking the Indian economy on a sustainable high growth path. It aims to attract foreign companies to set-up factories in India and invest in the country's infrastructure and transform the economy from the services-driven growth model to labour-intensive manufacturing-drive growth. This is expected to create over 10 million new jobs annually.

Digital India

Digital India aimed at transforming the country into digitally empowered social and knowledge economy, as well as to revive the State of Governance in the country. It is an 'umbrella programme' weaving together many existing schemes under multiple ministries and departments to ensure that its services are available to citizens electronically.

Digital Locker System aims to minimise the usage of physical documents and enable sharing of e-documents across agencies. Swachh Bharat Mission (SBM) mobile app would be used by people and government organisations for achieving the goals of Swachh Bharat Mission. e-Sign framework would allow citizens to digitally sign a document online using Aadhaar authentication. The Online Registration System (ORS) under the e-Hospital application has been introduced.

Startup India - Standup India

The Startup India – Standup India initiative unveil the government's actions plans to support early stage startups. Startup India – Standup India celebrates the entrepreneurship spirit of country's youth and those that are using technology to change the way we solve problems in India across industries, from medicine and sports to education and the environment.

INDIAN BANKING SYSTEM

Banking system is the pillar of an economic system. India's banking system is a stable one, under the supervision and regulatory framework of the Reserve Bank of India (RBI). In more than six decades of India's independence, the Indian banking sector has expanded and developed in multifarious dimensions.

Types of Banking

There are three types of banking, which are as follows

Core Banking

Core banking is often associated with retail banking and many banks treat the retail customers as their core banking customers. Business is usually managed *via* the Corporate banking division of the institution. Core banking covers basic deposit and lending of money.

Normal core banking functions will include transaction accounts, loans, mortgages and payments. Banks make these services available across multiple channels like ATMs. It is also known as **Core Banking Solution**.

Retail Banking

When a bank executes transactions directly with consumers, rather than corporations or other banks, then it is called **Retail Banking**.

Narrow Banking

It refers to very restricted form of banking where banks are required to take calculated risk. It involves mobilising large part of deposits in risk free assets such as government securities. Banks in India partially implement narrow banking.

MONEY

- It plays an important role in our life. Modern form of money includes paper notes and coins. In India, the Reserve Bank of India (RBI) is authorised to issue currency notes, on behalf of the Government of India.
- Further, there is legal sanction behind every currency, that implies that a rupee cannot be refused as a means of settling transactions in India. Thus, rupee is the universally accepted means of exchange in India.

Types of Money

There are two types of money, which are as follows

i. **Legal Money** The issuance of legal currency always done under legislation by the Government or the Reserve Bank. The Reserve Bank would undertake to pay the holder an equal amount.
ii. **Credit Money** The payment is done through cheque.

Money Stock Measures in India

- On the recommendations of the second working group on money supply, RBI introduced a series of money stock measures in India since 1970-71, *which are as follow*
- M1 $\Rightarrow$ High-powered money = Monetary base = Money with the public + Reserves of banks with RBI
- M1 $\Rightarrow$ Money with the public (currency notes and coins) + Demand deposits of banks (on current and saving bank accounts) + Other demand deposits with RBI.
- $M2 \Rightarrow M1 +$ Saving bank deposits with Post-Offices.
- M3 $\Rightarrow$ M1 + Term deposits with the bank.
- $M4 \Rightarrow M3 +$ All deposits of Post-Offices.
- M1 measure represents the most liquid form of money among four money stock measures adopted by RBI. As we proceed from M1 to M4, the liquidity gets reduced. In other words, *M4* possesses the lowest liquidity among all these measures.
- *M3* is the most important component among all money stock measures which is generally termed as 'Broad Money'.

Cheap Money Policy and Dear Money Policy

- Cheap Money Policy is that monetary policy in which loans and advances are made available on low interest rate and easy terms to industries, businessmen and consumers. Cheap Money Policy increases the inflation rate in the economy and it is generally adopted to get rid of deflationary tendencies in the economy.
- On the other hand, Dear Money Policy is adopted to squeeze the credit utilisation facilities in the economy. Under Dear Money Policy, interest rate is increased which helps in controlling inflation in the economy.

CURRENCY

- Rupee was first minted in India during the reign of **Sher Shah Suri.** India became a member of International Monetary Fund (IMF) in 1947, and exchange value of rupee came to be fixed by IMF standards.
- The symbol of Indian rupee (₹) came into use on 15th July, 2010. The new symbol designed by D Udaya Kumar. This symbol is an amalgamation of Devanagari 'Ra' and the Roman 'R' without the stem.

Devaluation of Currency

Refers to reducing value of the Indian rupee in comparison to the leading currencies in the world market.

i. **First Devaluation** In June, 1949 (by 30.5%) (Finance Minister Dr John Mathai).
ii. **Second Devaluation** In June, 1966 (by 57%) (Finance Minister Sachindra Chaudhary).
iii. **Third Devaluation** On 1st July, 1991 (by 9%) (Finance Minister Dr Manmohan Singh).
iv. **Fourth Devaluation** On 3rd July, 1991 (by 11%) (Finance Minister Dr Manmohan Singh).
v. The basic objective of devaluation is to reduce deficits in balance of trade by making exports relatively cheap and imports costly.

Note Issuing Authority

- RBI has had the sole authority to issue currency notes other than ₹ 1 notes or coins and coins of smaller denominations since, its inception. ₹ 1 notes or coins and coins of smaller denomination are issued by the Central Government, but are put into circulation through the RBI.
- RBI can issue notes against the securing of coins or bullion, foreign securities, rupee coins, Government of India securities such as bills of exchange. The Reserve Bank has adopted Minimum Reserve System for the note issue. Since 1957, it maintains gold and foreign exchange reserves of ` 200 crore of which atleast ₹ 115 crore should be in gold.